



Synopsis: Alan Milburn's Young People and Work: Interim Report

Alan Milburn's recent report, *Young people and work: interim report*, was published by DWP on 28 May 2026. It is the discovery-phase report of a two-stage review commissioned by the Secretary of State for Work and Pensions. This first phase diagnoses why increasing numbers of young people, especially disabled young people and young people with health conditions, are not in education, employment or training — NEET. A later phase is expected to move into potential reform options.

Overall message

The report argues that the UK is facing a structural youth participation crisis, not a temporary post-pandemic labour market problem. Milburn's central claim is that Britain is producing too many young people who become detached from education and work because the systems around them — education, skills, health, welfare, employers and local delivery structures — are not joined up or designed around sustained participation.

The report says there were 957,000 young people aged 16–24 who were NEET at the end of 2025, with the rate rising to 13.2% at the end of 2024, the highest for a decade. It also stresses that the UK has become an international outlier: in 2025, the EU average youth NEET rate was 9%, compared with 12.8% in the UK, and only Romania had a higher rate among comparable European data. □

1. The scale and nature of the problem

Milburn frames the issue as “one million lives”: nearly one million young people aged 16–24 are outside education, employment or training. The report argues that the problem has become more entrenched because the NEET population has shifted away from short-term unemployment and towards economic inactivity. In other words, many young people are not just out of work; they are not actively looking for work or do not feel able to work.

A defining statistic is that 57% of young NEET people are economically inactive, compared with 43% who are unemployed. The report also says 61.6% of NEET young people have never had a job, up from 42% twenty years ago. That matters because the longer someone remains NEET, the harder re-engagement



becomes: among those NEET for less than a year, 65% return to participation the following year, but among those NEET for more than a year, only 25% do.

The report is clear that NEET is not a single uniform group. It includes young people with health conditions, disabled young people, young parents, care leavers, young people with criminal records, those with low qualifications, and also some young people waiting for courses or jobs. The point is that risk factors overlap and accumulate over time.

2. Health, disability and mental health are now central

One of the most important findings is that health is no longer a background issue in youth disengagement. Milburn argues it is now a central driver of who becomes NEET and who remains NEET.

The report says that in 2024/25, 45% of NEET young people reported having a disability, more than double the level in 2013/14. The disability NEET gap is described as severe: 29.6% of disabled young people were NEET, compared with 8.7% of non-disabled young people.

Mental health is the key driver within this. The proportion of disabled NEET young people citing mental health as their primary condition rose from 24.3% in 2011 to 42.6% in 2025. One in five NEET young people now report a mental health condition, more than double the level in 2012.

Milburn's diagnosis is that the health system is configured around treatment, not participation. The report argues that the NHS does not consistently treat education, employment or participation as health outcomes, even though work, structure and connection can be part of recovery for many young people.

3. Young people want to work — aspiration is not the problem

The report strongly challenges the idea that rising NEET levels are caused by a lack of motivation. Drawing on listening exercises with more than 300 young people and a survey of 417 NEET young people, it says 84% of NEET young people surveyed wanted to find a job, education or training.

The report presents young people as under pressure but full of potential. It argues that public debate too often uses a deficit model — focusing on what young people lack — rather than recognising their strengths, talents and ambitions.



This is important because it reframes the policy challenge. The issue is not that young people do not want to contribute; it is that too many face a combination of poor health, low confidence, weak networks, inaccessible recruitment, poor transport, lack of experience, fragmented support and employers who feel unable to take the risk.

4. The labour market has changed

Milburn argues that previous policy has focused too heavily on the supply side: making young people more employable through skills, CV support, job search requirements and benefit conditionality. The report says this is necessary but not sufficient, because the demand side of the labour market has weakened.

The report says entry-level opportunities have narrowed, the youth share of the labour market has fallen, and employers are less likely to take a chance on young people who lack experience or have anxiety, depression or other support needs. It also argues that recruitment has become more remote, automated and impersonal, making it harder for young people to get a first chance.

A striking point is that many NEET young people are not unqualified. The report says nearly 30% of the NEET population have good GCSEs or equivalent, over 21% have Level 3 qualifications, and 15% have a degree. Milburn uses this to argue that the labour market is not reliably absorbing young people, even where they have qualifications.

5. Education and skills: a faltering foundation

The report says education remains one of the strongest protections against becoming NEET, but that the system is not keeping pace with the modern labour market.

Milburn's criticism is that schools, colleges and universities are still too often measured by attainment, enrolment and qualifications, rather than by whether young people move into sustained education, employment or training. He argues that the system often knows early who is at risk — through indicators such as school readiness, absence, SEND, poor attainment and family disadvantage — but lacks the accountability, funding and architecture to act early enough.

The report is particularly critical of the weakening of vocational and technical pathways. It says further education has been “hollowed out” by real-terms cuts, apprenticeships have drifted away from the young people who need them most,



and the apprenticeship levy has often been used for upskilling existing workers rather than creating entry routes for young people.

The report also questions whether higher education has become too much of a default pathway. It does not dismiss HE but argues that high-quality alternatives are not available at the scale needed.

6. Welfare is not designed around participation

Milburn argues that welfare should be both a safety net and a springboard to participation, but says the current system too often compensates for exclusion rather than helping young people move towards work, education or training.

The report says only around one in five NEET young people in England receive meaningful employment support through the benefit system, while around half are “hidden” from the benefit system because they are not claiming benefits and therefore receive no DWP employment support.

It also says the system can discourage gradual movement into work. For young people with fluctuating mental health or neurodevelopmental conditions, Milburn argues that a few hours of volunteering, a supported work taster, part-time work or a gradual build-up may be the right route. But the welfare system does not sufficiently encourage these intermediate steps and can make young people feel they are taking a financial risk by trying work.

The report highlights the growing significance of neurodevelopmental and mental health conditions within benefit claims. It says eight in ten young people on UC health report a neurodevelopmental or mental health condition at Work Capability Assessment, and that nearly half of PIP claims among young people are for autism and ADHD.

7. The system is fragmented and lacks ownership

A major theme is that there is no coherent national-to-local architecture for youth participation. Milburn says different departments and agencies are active — DfE, DWP, DCMS, DHSC, NHS bodies, councils, combined authorities and Jobcentres — but there is little that joins the dots.

The report is highly relevant to devolution. It says local leadership matters because labour markets, transport, employer relationships and many barriers are local. However, it also says devolution has created partial responsibility without full control. Mayors and strategic authorities may have powers over adult skills,



transport and economic development, but not over schools, welfare design, benefits or NHS commissioning boundaries.

Milburn also points to geographic misalignment: one young person may be covered by an integrated care board, a strategic authority, a local authority and a Jobcentre district that do not share the same boundaries or accountability. This means no single institution sees the whole picture.

8. Hidden NEETs

The report places significant emphasis on young people who are NEET but not visible to the benefit system. It cites Resolution Foundation analysis suggesting that around 44% of NEET young people are not claiming out-of-work benefits and estimates that around 314,000 18–24-year-olds in England are neither in work nor education and are not receiving benefits themselves.

This matters because a system built around benefit claimants will miss a large proportion of young people who may need support. Milburn's conclusion is blunt: when the system misses nearly half of NEET young people, it is not identifying the problem it was designed to solve.

9. The economic and fiscal consequences

The report estimates the cumulative annual cost of almost one million NEET young people at £125 billion. Milburn says this is more than annual education spending in England, and argues that the issue is now not only a moral and social crisis but a strategic economic risk.

It also highlights the lifetime scarring effect of being NEET. The report states that 24-year-old NEETs who re-enter the labour market could still lose up to £300,000 in lifetime earnings as a result of time spent detached from work and learning.

10. The forward risk: things could get worse

Milburn warns that the problem is likely to deteriorate without major reform. The report says risk factors such as disability, mental health issues, school suspensions and exclusions have all grown by more than 75% since around 2017/18. Persistent and severe absence in state secondary schools in England has more than doubled since 2018.

The report's modelling suggests that the NEET rate could exceed one million within two to three years. Under a worse scenario, it could rise to over 16%,



meaning more than 1.25 million young people not fully participating in society within five years.

11. The report's central diagnosis

Milburn's final argument is that the UK has reached a fork in the road. He says the problem is not marginal, temporary or cultural. It is a systemic failure at the point where young people are supposed to move into adulthood.

He also argues that previous governments have not been passive. There have been many programmes — New Deal for Young People, Future Jobs Fund, Work Programme, Youth Contract, Traineeships, Kickstart and the Youth Offer — but they have not changed the underlying system.

His conclusion is that repeated time-limited programmes are not enough; the country needs fundamental reform rather than another initiative added onto a fragmented system.

High-level implications for employability and skills

For the employability and skills sector, the report points to several major implications:

- Youth employment support will need to become more integrated with health, especially mental health and neurodiversity support. Traditional employability models based mainly on job search, CVs and conditionality will not be sufficient.
- Employer engagement will need to shift from vacancy brokerage to risk-sharing: helping employers take on young people who may need induction, pastoral support, flexibility and confidence-building.
- Education and skills providers will face growing pressure to evidence sustained destinations, not just enrolments, qualifications or starts.
- Devolution and local partnerships will become even more important, but only if local areas are given clearer ownership, stronger data, aligned boundaries and the authority to coordinate across DWP, local government, health, employers and education.

The report strengthens the case for programmes such as Youth Guarantee Trailblazers, Connect to Work, supported internships, foundation apprenticeships and locally integrated employment pathways — but it also warns that isolated programmes will fail unless they are part of a coherent system.



Summary

The Milburn report is not just a report about youth unemployment. It is a diagnosis of a wider failure in the transition from childhood to adulthood.

Its core message is that the UK needs to redesign education, skills, health, welfare, employer engagement and local delivery around one shared objective:

ensuring every young person can learn, earn or participate in a way that is realistic, supported and sustained